

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., CONSOLIDATED CHASSIS
MANAGEMENT, LLC, CMA CGM S.A., COSCO
SHIPPING LINES CO. LTD., EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982,
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK
A/S, MSC MEDITERRANEAN SHIPPING
COMPANY S.A., OCEAN NETWORK EXPRESS
PTE. LTD., WAN HAI LINES LTD., YANG MING
MARINE TRANSPORT CORP., AND ZIM
INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

**COMPLAINANT'S MEMORANDUM OF LAW IN REPLY TO
RESPONDENTS' MOTION FOR LEAVE TO FILE
INTERLOCUTORY APPEAL AND FOR STAY**

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Complainant Intermodal Motor Carriers Conference of the American Trucking Associations (“IMCC”) respectfully submits this memorandum of law in reply to the Motion for Leave to File Interlocutory Appeal (“Mot.”) of Respondents Ocean Carrier Equipment Management Association (“OCEMA”), Consolidated Chassis Management, Inc. (“CCM”), and the named ocean carriers.

INTRODUCTION

Respondents move for an interlocutory appeal and to stay these proceedings based on two arguments: that the Commission lacks jurisdiction to hear the Complaint; and that the intermodal equipment providers (“IEPs”), with whom Respondents contract for chassis, are indispensable parties. However, the Presiding Officer already considered fully, and correctly rejected, both arguments on the merits in the Order Denying the Motion to Dismiss (“Order”), based on well-established Commission precedents. Respondents cannot show any “substantial ground for difference of opinion” for either proposition. *Cargo One, Inc. v. COSCO Container Lines*, 28 S.R.R. 1367, 2000 WL 359796, at *6 (ALJ Mar. 21, 2000) (citation omitted). And even in their second bite at the apple, they point to no error in the Order, legal or factual, to justify an interlocutory appeal.

The Commission has jurisdiction over IMCC’s Complaint because Respondents’ conduct suppresses chassis choice and interoperability, which burdens the efficiency of the handling and delivery of property at ports and inland terminals. The Commission previously has confirmed its jurisdiction over practices of ocean carriers affecting truckers, to “improve throughput velocity at U.S. ports, allow for more efficient use of business assets, and result in administrative savings.” *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29,638, 29,640 (Final May 18, 2020). Similarly, the Commission has exercised jurisdiction over conduct

relating to delivery of property to a shipper or receiver under a through tariff or contract, including “shipments going to inland destinations or points.” *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 2011 WL 7144008, at *6, *24 (FMC Aug. 1, 2011).

Respondents’ arguments to the contrary were based on superseded case law, and the Presiding Officer properly rejected Respondents’ efforts to roll back the scope of Commission jurisdiction.

Respondents also cannot evade the Complaint by claiming IEPs as necessary parties. IEPs are unnecessary to establish Respondents’ liability, air Respondents’ defenses, or afford IMCC complete relief by a cease-and-desist order against Respondents’ practices. Order at 5-6.

Finally, Respondents’ request for a stay should be denied. Respondents will not suffer any irreparable harm from continuing the proceedings. The cost of litigation (borne equally by Respondents and IMCC) provides no cognizable grounds for a stay. *FTC v. Standard Oil Co.*, 449 U.S. 232, 244 (1980) (observing that the “expense and annoyance of litigation is part of the social burden of living under government.”) (citation omitted). In contrast, IMCC members and their shipper/receiver customers will continue to suffer actual injury from Respondents’ unlawful conduct if a stay is granted. As a result, Respondents’ Motion should be denied.

LEGAL STANDARDS

Interlocutory appeals “have long been disfavored in the law, and properly so.” *Carpenter v. Boeing Co.*, 456 F.3d 1183, 1189 (10th Cir. 2006). Under the Commission’s Rules of Practice, a Presiding Officer **must** “find[] it necessary . . . to prevent substantial delay, expense, or detriment to the public interest, or undue prejudice to a party.” 46 C.F.R. § 502.221(a). This standard is ordinarily met by demonstrating two factors: the otherwise unappealable order “involves a controlling question of law as to which there is substantial ground for difference of opinion”; and “an immediate appeal from the order may materially advance the ultimate

termination of the litigation.” *Cargo One*, 2000 WL 359796, at *6 (quoting *Amzone Int’l & Univ. Cargo Mgmt. v. Hyundai Merchant Marine Co.*, 27 S.R.R. 386, 389 (FMC 1995)).

Neither factor is met here. There is no substantial difference of opinion as to jurisdiction or that the IEPs are not indispensable parties. And delaying judgment will merely prolong the harm to IMCC members and their customers. Respondents’ Motion should be denied.

ARGUMENT

I. The Commission’s Jurisdiction Extends to Conduct Affecting Receipt and Delivery of Cargo Under Through Rates and Port-to-Port Rates, and to Conduct Burdening Port and Terminal Efficiency.

Upon a full briefing on the merits of Respondents’ Motion to Dismiss, the Presiding Officer held that the allegations of IMCC’s Complaint fell squarely within the Commission’s jurisdiction over conduct that affects the receipt and delivery of cargo, and that burdens the efficiency of the handling and delivery of property at ports and inland terminals. Order at 3-4. The Presiding Officer thus held that the allegations of the Complaint established a proper factual predicate for the Commission’s exercise of that jurisdiction. The Presiding Officer correctly reviewed prevailing law and applied that law to the allegations of the Complaint. Accordingly, there is no substantial ground for difference of opinion that the Commission has subject-matter jurisdiction to determine whether the alleged conduct violates 46 U.S.C. § 41102(c).

As alleged in the Complaint, ocean carriers, acting individually and through OCEMA and CCM and their affiliates, have suppressed chassis choice and interoperability, creating supply chain inefficiencies and causing overcharges for motor carriers, shippers, and U.S. consumers, and thus failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or in connection with receiving, handling, storage, or delivering property.” 46 U.S.C. § 41102(c). The Complaint asserts that “ocean carriers affect and exert control over chassis availability through their regulations and practices.” Order at 4. The alleged conduct restricting

chassis choice “relates to” the delivery of cargo on through rates to inland destinations while burdening the Respondent ocean carriers’ customers who receive delivery of cargo containers under their port-to-port tariffs, and thus “relates to” delivery under those tariffs as well. Further, Respondents’ conduct restricting chassis interoperability impairs the efficient operations of the U.S. intermodal system.

After reviewing these (and other) allegations, the Presiding Officer correctly determined that the Complaint’s allegations fell squarely within the subject-matter jurisdiction of the Commission. *Id.*; *Interpretive Rule on Demurrage and Detention Under the Shipping Act, Demurrage and Detention Rulemaking*, 85 Fed. Reg. 29,638, 29,640 (confirming jurisdiction over practices of ocean carriers affecting truckers, to “improve throughput velocity at U.S. ports, allow for more efficient use of business assets, and result in administrative savings.”); *see also Mitsui O.S.K. Lines Ltd.*, 2011 WL 7144008, at *6, *24 (jurisdiction extends to conduct that “relat[es] to or [is] connected with” the delivery of property to a shipper or receiver under a through tariff or contract, including “shipments going to inland destination or points”); *Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan and its Member Lines*, Dkt. No. 86-12, 1988 WL 340659, at *4 (FMC Jan. 6, 1988) (jurisdiction extends to regulations and practices affecting transport and delivery under through rates, including at inland points).

While Respondents assert that they have made a factual rather than facial challenge to jurisdiction, in fact Respondents do not dispute **any** of the Complaint’s jurisdictional allegations.¹ For example, Respondents do not contest that the lack of chassis interoperability

¹ Because Respondents challenge none of the Complaint’s allegations establishing jurisdiction, Respondents raise a facial rather than factual challenge. “In a factual challenge, the defendant argues ‘that the jurisdiction allegations of the complaint **[are] not true**,’ providing the trial court the discretion to ‘go beyond the allegations of the complaint.’” *Beck v. McDonald*, 848 F.3d 262, 270 (4th Cir. 2017) (quoting *Kerns v. United States*, 585 F.3d 187, 192 (4th Cir. 2009))

affects port and inland terminal congestion and through-put, or that the Respondent ocean carriers have rules, contracts, and practices that limit chassis interoperability. Compl. ¶¶ 47-68.

Nor do Respondents disagree that:

- (1) Respondent ocean carriers have through rates that include chassis haulage provided to Respondents under ocean-carrier-haulage (“CH”) contracts with independent IEPs;
- (2) Respondent ocean carriers also offer rates to provide port-to-port services;
- (3) Those rates provide for delivery and receipt of containers at ports and inland terminals; and
- (4) Respondents thus require that shippers/receivers and their designated motor carriers pay fees for chassis, including from IEPs who Respondent ocean carriers have designated as the default for merchant haulage (“MH”) movements.

Id. ¶¶ 48-49. And last, Respondents do not challenge that motor carriers may directly pay IEPs for chassis rentals, and that such rental payments are rebilled to **shippers**, who would then suffer MH chassis overcharges, if they exist. *Id.* ¶¶ 47-48, 71.

Instead, Respondents engage in misdirection by asserting that the Shipping Act does not extend to “the relationship between ocean carriers and truckers.” Mot. at 3. But this assertion is irrelevant because no contracts between motor carriers and ocean carriers are at issue in this proceeding. Rather, the Complaint challenges the Respondents’ conduct that burdens motor carriers and their shipper customers and impairs through-put in the intermodal supply chain.

(emphasis added). Therefore, the Complaint is the only basis at this stage to evaluate jurisdictional facts, as the Presiding Officer did in denying the Motion to Dismiss. But even if Respondents did contest jurisdictional facts, the remedy would be to allow discovery. *McKenna Trucking Co., Inc. v. A.P. Moller-Maersk Line & Maersk Inc.*, 27 S.R.R. 1045, 1054 (ALJ 1997) (ordering limited discovery in *factual* rather than facial challenge to jurisdiction).

Thus, the case relied upon by Respondents, *Pro Transport*, is inapposite. There, the Presiding Officer found that the Commission lacked jurisdiction over a dispute regarding “**purely domestic transportation services**.” Order at 12, *Pro Transport, Inc. v. Seaboard Marine of Florida, Inc. and Seaboard Marine Ltd.*, Dkt. No. 16-12 (ALJ Apr. 26, 2017, administratively final May 31, 2017) (emphasis added). No harms to the shipping public were alleged. *Id.* at 9, 11 (dispute does not concern “responsibility to the general public for [] through transportation” nor does it involve “through bill of lading”). Precisely such harms form the basis of IMCC’s Complaint. Compl. ¶¶ 4, 23, 73-79.

As a result, there is no “substantial ground for a difference of opinion” that the Commission has jurisdiction over the conduct alleged in the Complaint.

II. IEPs Are Not Indispensable Parties to This Action.

There is no “substantial ground for disagreement” as to the Presiding Officer’s proper denial of mandatory joinder of the IEPs. See Fed. R. Civ. P. 19(a)(1)(A), (B)(ii). IEPs cannot be necessary parties since **none** of the requested relief requires their participation. Order at 6. For example, the Complaint seeks a cease-and-desist order to remove, and cease enforcement of, CCMP Operations Manual § 5.7, and to cease enforcement of any regulation or practice that “limits the ability of a motor carrier to select the chassis provider, default provider designations for merchant haulage movements, and utilizing single-provider chassis pools that are not interoperable.” Order at 6; Compl. Request for Relief ¶ 3(b)-(e). Therefore, the Presiding Officer may accord “complete relief among existing parties,” and so IEPs need not be joined. Order at 5 (quoting Fed. R. Civ. P. 19(a)(1)). See also “50 Mile Container Rules” *Implementation by Ocean Common Carriers Serving U.S. Atlantic and Gulf Coast Ports*, Dkt. No. 81-11, 1987 WL 209053, at *4 (FMC Aug. 3, 1987) (giving ocean carriers “a reasonable

amount of time to conform their collective bargaining arrangements with the requirements of the shipping laws”).

Complete discovery also can be had without joining the IEPs. Respondents have access to their contracts with IEPs, and may be required to produce them to IMCC; and the IEPs may be the subject of third-party discovery. Thus, an immediate interlocutory appeal is unnecessary.

III. The Presiding Officer Should Not Stay Proceedings Pending Appeal.

Regardless, the Presiding Officer should not stay this proceeding. When evaluating a motion to stay proceedings, the Presiding Officer considers:

- (1) the likelihood that the party seeking the stay will prevail on the merits of the appeal; (2) the likelihood that the moving party will be irreparably harmed absent a stay; (3) the prospect that others will be harmed if the court grants the stay; and (4) the public interest in granting the stay.

SSA Terminals, LLC & SSA Terminals (Oakland) LLC v. City of Oakland ex rel. Board of Port Commissioners, Dkt. No. 09-08, 2010 WL 8367622, at *3 (ALJ Dec. 21, 2010) (citing *Virginia Petroleum Jobbers Ass’n v. FPC*, 259 F.2d 921, 925 (D.C. Cir. 1958)); *see also Nken v. Holder*, 556 U.S. 418, 434 (2009) (articulating traditional stay factors, citing *Hilton v. Braunskill*, 481 U.S. 770, 776 (1987)).² Respondents do not satisfy any factor here.

A. Respondents Cannot Identify Any Irreparable Harm.

Respondents point **only** to ordinary annoyances arising from the fact of litigation. Mot. at 8 n.2. But it is “well established that litigation expenses are not an irreparable injury.”

Mdewakanton Sioux Indians of Minnesota v. Zinke, 255 F. Supp. 3d 48, 52 (D.D.C. 2017); *see also Standard Oil*, 449 U.S. at 244 (“Mere litigation expense, even substantial and unrecoverable

² Respondents claim that the Presiding Officer need only conduct “*Landis* balancing.” Mot. at 7-8. Not so. When a lower tribunal considers whether to stay its own proceedings pending appeal, the traditional four-factor test applies. *See Hilton*, 481 U.S. at 776. Moreover, under the public interest factor, a court already considers how “to adjudicate claims in an efficient manner.” *Jackson v. District of Columbia*, 692 F. Supp. 2d 5, 8 (D.D.C. 2010).

cost, does not constitute irreparable injury”) (citation omitted). If litigation burdens become unreasonable, the Commission’s Rules of Practice already have a remedy—ordinary discovery objections. *See* 46 C.F.R. § 502.141(e)(2). And it is not just Respondents who must comply with discovery obligations—so must IMCC.

Respondents also cannot satisfy their burden to “make out a **clear case** of hardship or inequity in being required to go forward” where there is a “fair possibility that the stay for which [the movant] prays will work damage to some one else”—here, to motor carriers, their shipping customers, and the public. *General Motors LLC v. Nippon Yusen Kabushiki Kaisha, et al.*, Dkt. No. 15-08, 2016 WL 240785, at *2 (ALJ Jan. 5, 2016) (citation omitted). A stay of proceedings would perpetuate Respondents’ unlawful scheme to suppress chassis choice and interoperability. This conduct burdens the shipping public, and ultimately U.S. consumers, who suffer from passed-on higher MH rates and inefficient port and terminal operations during the appeal. *See infra*.

Vehicle Services does not suggest otherwise. Mot. at 6 (citing *In re Vehicle Carrier Services*, 1 F.M.C.2d 45 (ALJ 2018)). That matter involved “complex litigation” of orders of magnitude greater than here, including many separate dockets and a novel theory of class procedure. Given the intricacy, sheer number of Complainants and Respondents, and unusual threshold issues, the Presiding Officer there determined that a temporary pause was warranted. *Id.* at 53. Here, no such complexity or unique procedural issues exist. Because they will not suffer irreparable harm, Respondents’ stay request should be denied.

B. Respondents Will Likely Lose on Their Novel Jurisdiction and Joinder Theories.

Nor can Respondents make “a strong showing” that they are “likely to succeed on the merits.” *Nken*, 556 U.S. at 426. The Commission clearly has jurisdiction because Respondents’

practices and regulations affect **both** the delivery of cargo on through rates to inland destinations and delivery of cargo to ports and terminals under port-to-port rates **and** the efficient operations of the U.S. intermodal system. Order at 4. *See also Distribution Services*, 1988 WL 340659, at *4; *Demurrage and Detention Rulemaking*, 85 Fed. Reg. 29,638, 29,640; *Mitsui O.S.K. Lines Ltd.*, 2011 WL 7144008, at *6, *24; *see supra*. Further, Respondents are unlikely to argue successfully that IEPs are necessary parties. As the Presiding Officer has already determined, all the requested relief can be granted without participation from the IEPs. Order at 6; *see supra*.

C. Third Parties, Including the Shipping Public and U.S. Consumers, Will Be Harmed by Respondents’ Ongoing Unlawful Conduct Pending Appeal.

Any delay of proceedings will necessarily harm third parties—specifically, the customers of motor carriers and the shipping public. 46 C.F.R. § 502.221(a); *Nken*, 556 U.S. at 434. The Presiding Officer has already recognized that the Complaint “includes detailed factual allegations regarding chassis,” and how “Respondents’ conduct restricts chassis competition and creates inefficiencies,” at ports and inland terminals. Order at 7. The Complaint further alleges that Respondents’ scheme increases costs relating to delivery under ocean carriers’ port-to-port bills of lading that the shipping public must pay through motor carriers. *Id.* (noting “overcharge[s] . . . for chassis on merchant haulage”). As a result, motor carriers aren’t the only ones who are injured—the shipping public, and ultimately U.S. consumers, will suffer due to the Respondents’ unreasonable and unlawful scheme. *See Am. Export-Isbrandtsen Lines, Inc. v. FMC*, 389 F.2d 962, 968 (D.C. Cir. 1968) (“Savings from [terminal] efficiencies will presumably be passed on to shippers and receivers”).

Maier Terminals does not justify Respondents’ request for delay. Mot. at 7 (citing *Maier Terminals, LLC v. Port Authority of New York and New Jersey*, 32 S.R.R. 1 (ALJ May 16, 2011)). There, the Presiding Officer found it was in the “public interest” for the Commission

to answer an unresolved question of statutory interpretation. But no such issue exists here. The Commission has jurisdiction over conduct that affects the delivery of cargo on through rates to inland destinations and burdens the efficient operations of the U.S. intermodal system. And any delay will necessarily harm the shipping public and U.S. consumers. *See supra*. As a result, third parties will necessarily suffer “detriment” during the delay. 46 C.F.R. § 502.221(a).

D. The Public Interest Favors Ongoing Proceedings.

The public has a strong interest in compliance with the requirements of federal law and regulations. Any stay will give Respondents a temporary license to continue their unlawful and unreasonable conduct in contravention of the Shipping Act. Further, because Respondents do not provide any convincing justification for an interlocutory appeal, there will be no burden on judicial “economy of time and effort” if proceedings move forward according to the ordinary rules. *Landis v. N. Am. Co.*, 299 U.S. 248, 254 (1936).

CONCLUSION

For all of the foregoing reasons, IMCC respectfully requests that the Presiding Officer deny Respondents’ Motion for Leave to Appeal Interlocutory Order and Stay of Proceedings.

DATED: December 18, 2020

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that, on December 18, 2020, a true and current copy of the foregoing Complainant's Memorandum of Law in Reply to Respondents' Motion for Leave to File Interlocutory Appeal and for Stay was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following Respondents' counsel:

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**COMPLAINANT'S REPLY TO RESPONDENTS' APPEAL
OF CERTAIN PORTIONS OF ORDER DENYING MOTION TO DISMISS**

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Complainant Intermodal Motor Carriers Conference of the American Trucking Associations (“IMCC”) respectfully submits this reply to the Appeal of Certain Portions of the Order Denying their Motion to Dismiss (“App.”) of Respondents Ocean Carrier Equipment Management Association (“OCEMA”), Consolidated Chassis Management, Inc. (“CCM”), and the named ocean carriers.

INTRODUCTION

IMCC’s Complaint alleges in detail how Respondents’ conduct restricts chassis competition and interoperability, resulting in port and terminal inefficiencies and in overcharges paid by motor carriers, their shipper customers, and ultimately U.S. consumers. The Commission focuses on precisely this type of conduct “by regulated entities,” who impose “unjust and unreasonable business methods . . . on a normal, customary, and continuous basis, and thereby . . . inflict detrimental effect upon the commerce of the United States.” 83 Fed. Reg. 45367, 45368, 45372 (Sept. 7, 2018).

Respondents moved to dismiss the Complaint, which the Presiding Officer correctly rejected in full. Respondents now ask the Commission to reverse the Presiding Officer, arguing that the Commission is powerless to resolve any dispute between ocean carriers and motor carriers, as if this were merely a contract case. They are wrong. The Complaint alleges that Respondents’ regulations and practices (1) burden shippers and receivers who make use of Respondent ocean carriers’ port-to-port rates with overcharges paid by their designated motor carriers; and also (2) cause inefficiencies in the movement of cargo at ports and inland terminals. That conduct squarely falls within the Commission’s jurisdiction.

The Respondents also claim that the Commission must dismiss the IMCC’s Complaint because independent intermodal equipment providers (“IEPs”) of chassis are “indispensable”

parties. Not so—the Commission can award complete relief without them in a cease-and-desist order directed to the Respondents. And regardless, Respondents’ arguments amount to nothing more than the observation that certain Respondents *may* have to revise their contractual provisions with IEPs to comply with the Shipping Act. This does not require dismissal: the Commission can consider the matter at the remedy stage during which the IEPs can intervene if they so choose.

Respondents’ Appeal should be denied; the proceedings should continue to the merits.

STATEMENT OF FACTS

A. The Role of Chassis in Container Movement

Chassis are a “pivotal element” of the international supply chain. *Comm’r Dye Statement Before The Surface Transportation Board Oversight Hearing on Demurrage and Accessorial Charges* (May 22, 2019) (“Commissioner Dye Statement”), <https://www.fmc.gov/statement-of-dye-stb-demurrage>.¹ A chassis used by motor carriers “is a frame with a suspension and axle system, wheels and tires, brakes, a lighting and electrical system, a coupling for towing behind a truck tractor, and twistlocks that provide the securement points to the corner castings on a container.” Compl. ¶ 22. Motor carriers use chassis to move containers between intermodal terminals and shipping facilities. *Id.* ¶ 23. Between 400,000 and 500,000 chassis currently are used in the haulage of international containers in the United States. *Id.* ¶ 24.

There are multiple business models by which chassis may be provided for daily use for the interchange of containers. Historically, ocean carriers owned or leased chassis, and motor carriers had to pick up and return both chassis and containers from an ocean carrier. *Id.* ¶ 25. This led to inefficiencies if some ocean carriers had shortages while others had surpluses. *Id.* As

¹ The Commission may consider the Commissioner Dye Statement, and other documents cited in the Complaint, as “adopted by reference.” Compl. ¶ 28; see Fed. R. Civ. P. 10(c).

a result, a second business model arose whereby ocean carriers would cooperate by pooling available container slots and chassis. *Id.* ¶ 26. For example, CCM independently operates regional chassis pools on behalf of OCEMA members. *Id.* Under a third business model, third-party leasing companies organize interoperable “gray” chassis pools. *Id.* ¶ 27. Third-party leasing companies may operate single-provider pools, a fourth business model, that are not interoperable with the chassis of other providers. *Id.* Last, in a fifth model, motor carriers own their own chassis, such as the North American Chassis Pool Cooperative. *Id.* ¶ 30.

For all business models, financial responsibility for the payment of daily chassis charges can be divided into two types. Carrier haulage (“CH”) movements occur when the ocean carrier tariff or contract includes the cost of transport of the container, including chassis charges. *Id.* ¶ 31. Merchant haulage (“MH”) movements are when the motor carrier (or in some instances, the shipper or receiver) bears financial responsibility for daily container and chassis fees. *Id.* Unlike CH, under MH, the motor carrier pays the ocean carrier or IEP and then bills its customer, the shipper or receiver, for the chassis usage. *Id.*

Dedicated or single-provider chassis pools, where chassis are assigned to serve the containers of only one or a few ocean carriers, have produced “gridlock” and impeded “supply chain velocity.” *Id.* ¶ 39. As a result, the Commission and, ostensibly, OCEMA and CCM, have recognized the benefits of interoperable chassis pools (where chassis can be used with containers of multiple ocean carriers) that are managed by a neutral party with no interest in favoring particular ocean carriers or IEPs. *Id.* ¶¶ 39-41; *see also id.* ¶ 42 (Respondent CCM has published a report on the beneficial impact of interoperable chassis pools on “supply chain efficiency.” (quoting CCM, *Interoperability Matters! The Interoperable Gray Pool Model, Enhancing Supply Chain Efficiencies*)). In practice, however, Respondents have actively worked to undermine the

viability of interoperable chassis pools, as IMCC's Complaint alleges in detail. Compl. ¶¶ 43-46, 50-56.

B. Respondents' Suppression of Chassis Competition and Interoperability

The Complaint alleges that Respondents have engaged in an unjust and unreasonable conduct to suppress chassis choice for motor carriers for MH movements and reap the financial benefits. Compl. ¶¶ 1, 6, 43. The Complaint details how, beginning in 2006, OCEMA members filed the Consolidated Chassis Management Pool Agreement (the "CCMP Agreement") to form regional chassis pools, and then sold their chassis to third-party providers (the IEPs). *Id.* ¶ 2. OCEMA then adopted and enforced policies, including CCM Pool Rule 5.7, which enabled Respondent ocean carriers to engage in practices specifically designed to suppress chassis choice and interoperability for motor carriers by:

- Giving ocean carriers veto power over motor carriers' chassis choice;
- Systematically denying consent to motor carriers' choice of chassis;
- Preventing chassis choice by adopting and enforcing "box rules" relating to the assignment and billing for chassis used for the receipt and delivery of their containers in non-CCM ports and terminals;
- Withdrawing from CCMP Agreement pools and designating single-provider chassis pools as the default provider for all container movements;
- Systematically designating an IEP as the ocean carrier's default chassis provider for *all* haulage movements, but basing the decision on the price of CH haulage, when the ocean carrier is billed for chassis usage; and
- Compelling IEPs to undercharge the ocean carrier for chassis usage for CH delivery movements while overcharging for MH delivery movements, thus

restricting competition and motor carrier choice for chassis, to the benefit of ocean carriers.

Id. ¶¶ 3, 31-56.

The Complaint details the unjust and unreasonable conduct of each individual Respondent. *Id.* ¶¶ 57-69. And it describes how non-interoperable chassis pools cause inefficiencies—including “lost time and revenue,” “duplicative repositioning,” “confusion on terminals and rail ramps,” and “gridlock”—in chassis provisioning, availability, and port or inland terminal operations. *Id.* ¶¶ 39, 55. Last, the Complaint avers how Respondents restrained competition for motor carrier chassis choice, causing motor carrier overcharges for chassis on MH movements associated with Respondents’ port-to-port tariffs, and how these overcharges are passed on to the shipping public and ultimately U.S. consumers. *Id.* ¶¶ 47-49.

THE PROCEEDINGS BELOW

Respondents filed a consolidated motion to dismiss IMCC’s Complaint on September 18, 2020. Dkt. 13-14. The Presiding Officer denied Respondents’ motion in full, directly addressing the arguments that Respondents now raise. Dkt. 17.

First, applying the allegations of the Complaint to the applicable law, the Presiding Officer held that the Commission has subject-matter jurisdiction. Order Denying Motion to Dismiss (“Order”) at 3-4. Specifically, the Presiding Officer focused on the Complaint’s allegations that “OCEMA members control the operation of chassis pools at ports and intermodal terminals nationwide,” *id.* at 3 (citing Compl. at 2-3); *see also* Compl. ¶¶ 3, 43-46, 50-69. Considering the recent *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29,638 (Final May 18, 2020), the Presiding Officer explicitly cited the Commission’s statements that ocean carriers may “‘substantially affect chassis availability via chassis pools owned by ocean carrier agreements such as OCEMA,’ and ‘[o]cean carriers also

exert control over chassis via “box rules,” under which ocean carriers determine which chassis a trucker must use in a carrier haulage situation.” Order at 4 (citing 85 Fed. Reg. 29655). Thus, the Presiding Officer concluded that IMCC “makes a plausible claim of jurisdiction by alleging that ocean carriers affect and exert control over chassis availability through their regulations and practices.” *Id.*

Second, the Presiding Officer considered—and rejected—Respondents’ argument that the IEPs are indispensable parties. *Id.* at 5-6. She observed that “the requested remedy directly impacts only the parties appearing in the proceeding.” *Id.* at 6. More specifically, she explained how a cease-and-desist order would be constructed, and would operate only on parties to the Complaint. *Id.* at 6 (citing Compl. at 40-41). As a result, “it does not appear that any other parties are necessary.” *Id.* And even if the IEPs were necessary parties, the Presiding Officer found that dismissal would be unjust because “no other venue would be able to adjudicate” the dispute. *Id.*

Respondents appealed the Order on these same two grounds: (1) that the Commission lacks subject-matter jurisdiction; and (2) that the IEPs are necessary parties.

LEGAL STANDARDS

The Commission reviews the Presiding Officer’s order *de novo*. 46 C.F.R. § 502.227(a)(6). The Commission further evaluates motions to dismiss using Fed. R. Civ. P. 12(b) and federal case law as an interpretive guide. *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011); *Marine Transp. Logistics, Inc. v. CMA-CGM (America) LLC*, Dkt. No. 18-07, 2019 WL 5206007, at *2 (FMC Oct. 8, 2019). See Fed. R. Civ. P. 12(b)(1) (subject-matter jurisdiction); *id.* 12(b)(6) (failure to state a claim upon which relief can be granted); *id.* 12(b)(7) (failure to join indispensable party).

With respect to Respondents’ jurisdictional challenge, all well-pleaded factual allegations in the Complaint should be assumed to be true and should be construed in the light most favorable to IMCC. That is true regardless of whether the “jurisdictional facts are intertwined with facts central to the merits” of IMCC’s claim, Order at 2 (citing *MAVL Capital v. Marine Transport Logistics*, 2020 FMC LEXIS 216, at *6 (FMC 2020)), or whether Respondents make a facial attack to the Commission’s subject-matter jurisdiction. *Cargo One Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1351, 1365 (FMC 2000); *see also Safe Streets Alliance v. Hickenlooper*, 859 F.3d 865, 877-78 (10th Cir. 2017) (facial attack “questions the sufficiency of the complaint” and so the “district court must accept the allegations in the complaint as true”) (citation omitted).²

With respect to Respondents’ joinder argument, the Commission looks to judicial precedent interpreting Fed. R. Civ. P 12(b)(7). Order at 2. The Commission first determines

² Since Respondents have not filed Answers or otherwise contested any of the facts set forth in IMCC’s Complaint, Respondents make a facial rather than factual challenge to jurisdiction. *Beck v. McDonald*, 848 F.3d 262, 270 (4th Cir. 2017) (“In a factual challenge, the defendant argues that ‘the jurisdiction allegations of the complaint **[are] not true**,’ providing the trial court the ‘discretion to ‘go beyond the allegations of the complaint’”) (quoting *Kerns v. United States*, 585 F.3d 187, 192 (4th Cir. 2009)) (emphasis added). And even if Respondents did contest jurisdictional facts (they do not), the remedy would be for the proceedings to continue to discovery. *McKenna Trucking Co., Inc. v. A.P. Moller-Maersk Line & Maersk Inc.*, 27 S.R.R. 1045, 1054 (ALJ 1997) (ordering limited discovery in *factual* rather than facial challenge to jurisdiction). Regardless, Respondents have not yet filed Answers. Therefore, the Complaint is the only basis at this stage to evaluate jurisdictional facts, as the Presiding Officer did in denying the Motion to Dismiss. None of Respondents’ cited authorities are to the contrary. App. at 4. *See Schuchardt v. President of the United States*, 802 Fed. Appx. 69, 71 (3d Cir. 2020) (factual challenge; “considering evidence the [defendant] submitted to challenge [plaintiff’s] standing”; no such proffered evidence here by Respondents); *Hartig Drug Co. v. Senju Pharm. Co.*, 836 F.3d 261, 268 (3rd Cir. 2016) (**reversing** district court’s dismissal of Complaint for lack of subject-matter jurisdiction on factual challenge and holding that complaint should have been evaluated under 12(b)(6) instead); *Branson Label, Inc. v. City of Branson*, 793 F.3d 910, 914-915 (8th Cir. 2015) (in evaluating factual attack on jurisdiction, tribunal considered evidence outside pleadings including a “substantially developed [] record”—which does not exist here).

whether the absent parties are “necessary” under Fed. R. Civ. P. 12(a)(1). Order at 5 (citing *Gen. Refractories Co. v. First State Ins. Co.*, 500 F.3d 306, 312 (3d Cir. 2007)). If the absent parties are necessary, the Commission then determines whether “in equity and good conscience, the action should proceed,” Fed. R. Civ. P. 19(b). The Presiding Officer correctly noted that under Rule 12(b)(7), the Commission accepts as true the allegations in the Complaint and draws all reasonable inferences in IMCC’s favor.³ Order at 6 (citing *Incubadora Mexicana, SA de CV v. Zoetis, Inc.*, 310 F.R.D. 166 (E.D. Pa. 2015)).

ARGUMENT

I. The Commission Has Subject-Matter Jurisdiction over Respondents’ Conduct Because It Relates to the Receipt and Delivery of Property under Through Rates and Port-to-Port Rates and Burdens “an Efficient Terminal System.”

The Commission has subject-matter jurisdiction for two independent reasons: (1) Respondents’ conduct restricts chassis choice and competition through their regulations and practices related to or in connection with their delivery and receipt of cargo under through rates and their delivery and receipt of cargo under port-to-port rates, which imposes overcharges on motor carriers and their shipper/receiver customers for MH moves; and (2) Respondents’ regulations and practices affecting chassis pool interoperability burden the efficient operation of ports and inland terminals. The Presiding Officer thus correctly determined that the Commission has jurisdiction. Order at 4.

³ Respondents’ argument at App. at 9-10 that the assertions in ¶ 3(d) of the Request for Relief and ¶ 47 are contradictory is a red herring—those paragraphs elaborate on conduct in different ports and inland terminals and therefore are not inconsistent. As a result, the Presiding Officer correctly considered the Complaint, including these paragraphs, as well-pleaded and assumed them to be true.

A. Respondents' Regulations and Practices Relate to Delivery on a Through Rate and in Connection with Port-to-Port Tariffs.

The Commission has jurisdiction over “through transportation,” beginning when “a common carrier assumes responsibility for transportation of the cargo” and ending when “the cargo is delivered to the consignee at the place of destination contemplated by the contract of carriage.” *Dukart v. Ocean Star International*, 2 F.M.C. 2d 118, 123-24 (ALJ 2020) (citing *Norfolk S. Ry. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23-27 (2004)). The Commission’s jurisdiction implements Congressional policy under the Shipping Act of 1984 favoring the use of single intermodal bills of lading covering shipments from abroad to inland points of destination, including by defining terms such as “through rate” and “through transportation” that incorporate “modern intermodalism concepts and practices in our foreign trade.” *Mitsui O.S.K. Lines Ltd.*, 2011 WL 7144008, at *6. As the Commission noted in *Mitsui*:

The Commission also recognized its jurisdiction over through intermodal transportation in *Effective Date of Tariff Changes*, in which it stated that “[t]he Commission’s jurisdictional authority over the provision of through transportation ... begins at the port or point of receipt, whether the cargo is tendered directly to the ocean carrier or to another carrier under arrangement for through transport to destination.’ In the Ocean Shipping Reform Act of 1998, Congress did not override the Commission’s assertion of comprehensive intermodal jurisdiction.

Id. (citation omitted); see also *Distribution Services v. Trans-Pacific Freight Conference of Japan and its Member Lines*, 24 S.R.R. 714, 1988 WL 340659, at *4 (FMC 1988) (jurisdiction extends to regulations and practices affecting transport and delivery of property under through rates, including at inland points). The Commission’s jurisdiction similarly extends to the Respondents’ regulations and practices with the delivery and receipt of cargo at ports and inland terminals under ocean carriers’ port-to-port rates. As a result, as the Presiding Officer correctly noted, the Complaint “makes a plausible claim of jurisdiction by alleging that ocean carriers

affect and exert control over chassis availability” that affects these through rates and port-to-port rates. Order at 4.

Respondents argue that the Commission lacks jurisdiction over IEP pricing and motor carrier inland transportation for MH movements. App. at 4-9. But this is misdirection—the Commission’s jurisdiction over Respondents’ conduct here does not arise from either the IEPs or the ocean carriers’ relationships with motor carriers. Rather, the Complaint alleges that Respondents’ regulations and practices relate to or are in connection with chassis rental and per diem fees incorporated into Respondents’ through rates for the *delivery* of property to an inland point. See Compl. ¶¶ 1-5. These regulations and practices unreasonably burden shippers and receivers obtaining *delivery* of property under Respondents’ port-to-port MH tariffs and contracts by increasing the price of chassis used in such delivery. For example, Respondents restrict chassis choice (using CCM Pool Operations Manual Section 5.7 and their contracts with their designated IEPs) to generate overcharges for MH container delivery, so that the designated IEP has sufficient revenue to undercharge Respondents for chassis rentals for CH movements. *Id.* ¶¶ 3-4, 47.

Further, the Complaint details how ocean carriers use IEP contracts to restrict chassis choice. *Id.* ¶ 49 (noting HMM’s own statement that, due to its contract with an IEP, “HMM . . . cannot grant open choice!”). As a result, the Complaint does not challenge IEP conduct. Rather, the Complaint alleges improper conduct by the Respondent ocean carriers in granting default status for MH container movements to the same IEP that provides chassis for CH movements, and seeks to hold the Respondents accountable for the overcharges on MH chassis that their conduct has caused. Compl. ¶¶ 1, 43-69. Similarly, the Complaint alleges that *all* Respondent ocean carriers have instructed that the carrier-designated IEP will bill for MH usage at the Port of

Los Angeles and the Port of Long Beach, not the actual chassis provider. *Id.* ¶ 56 (reprinting matrix from website of the Pool of Pools). Thus, the Commission has subject-matter jurisdiction to determine whether Respondents’ regulations and practices relating to chassis used in the delivery of containers under tariffs and contracts for through transportation burden the delivery of containers under port-to-port MH tariffs and contracts—and thereby violate the Shipping Act. Order at 4.

In response, Respondents attempt to roll back the Commission’s jurisdiction by resurrecting long-superseded cases. But even a cursory review of the Commission’s current precedents shows their motion must be rejected. The Commission has jurisdiction over IMCC’s Complaint because it “relat[es] to or is connected with” the delivery of property to a shipper or receiver under a rate, including “shipments going to inland destinations or points.” *Mitsui O.S.K. Lines Ltd.*, 2011 WL 7144008, at *6, *24; see Order at 3-4. Further, section 41102(c) applies to the conduct alleged in the Complaint: ocean carrier rules and practices affecting the “through transportation” of cargo, whether at terminals, rail facilities, customer facilities, or at other remote locations, and because it relates to the handling and delivery of cargo under the Respondents’ port-to-port tariffs. *Distribution Services*, 24 S.R.R. 714; Order at 3-4. And the Commission has jurisdiction over Respondents’ conduct, which burdens the efficiency of ports and inland terminals. See *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29,638, 29,640 (May 18, 2020) (confirming jurisdiction over practices of ocean carriers affecting truckers to “improve throughput velocity at U.S. ports, allow for more efficient use of business assets, and result in administrative savings.”).

Respondents also conspicuously avoid the implications of their arguments in light of other Commission precedents. The Commission held in *Vehicle Carrier Services* that *indirect*

purchasers of ocean carrier services have no standing to sue for reparations, even if they are considered shippers under the Shipping Act. 1 F.M.C. 2d 440, 455 (FMC 2019) (“shippers must still be direct purchasers to sue for reparations.”). If the Commission now were to adopt Respondents’ argument that IMCC members, as the *direct* purchasers of the overcharges resulting from Respondents’ conduct, cannot file a complaint under the Shipping Act, then **no one** would have standing to challenge these unjust and unreasonable practices.

B. Respondents’ Regulations and Practices Relate to Terminal Efficiency.

The Presiding Officer correctly noted that the Commission has jurisdiction over regulations and practices imposed on motor carriers, including those affecting chassis supply, that burden port and inland terminal efficiency. Order at 4 (“It is undeniable that chassis availability impacts the ability of a shipper or a trucker to remove a container from a port.” (quoting *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29,638 (Final May 18, 2020)). See also *Am. Export-Isbrandtsen Lines, Inc. v. FMC*, 389 F.2d 962, 967 (D.C. Cir. 1968) (“*Isbrandtsen I*”). By its terms, section 41102(c) applies to both terminal operators and ocean carriers, including regulations and practices that harm terminal operations. Order at 3-4. In so doing, Congress enacted a policy choice “facilitating the free flow of commerce by guaranteeing an efficient terminal system.” *Am. Export-Isbrandtsen Lines, Inc. v. FMC*, 444 F.2d 824, 829 (D.C. Cir. 1970) (“*Isbrandtsen II*”). Accordingly, because of their impact on port and terminal efficiency, regulations and practices for chassis usage, including chassis pool interoperability, fall within the Commission’s jurisdiction. *Holt Cargo Sys., Inc. v. Delaware River Port Authority*, Dkt. No. 96-13, 2000 WL 246442, at *33 (FMC Feb. 9, 2000) (“FMC should use its statutory authority under the reasonableness standard to further ‘an efficient terminal system.’”) (citation omitted).

The Complaint properly alleges Commission jurisdiction. Ocean carriers control the assignment of chassis at ports and inland intermodal terminals. Compl. ¶¶ 3, 50, 81. And the Complaint asserts that Respondents’ reliance on non-interoperable single-provider chassis pools creates port and terminal wastefulness. *Id.* ¶¶ 25, 41, 43-46, 53-54. These allegations echo the Commission’s findings that the variation in chassis supply models has created “serious inefficiencies in the freight delivery system.” *Notice of Proposed Rulemaking: Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 84 Fed. Reg. 48850, 48851 n.7 (Sept. 17, 2019). Independent factfinders, such as the Commission’s Memphis Supply Chain Innovation Team, also confirm how restrictions on chassis interoperability lower the operational capability of port and terminals: “In order to keep trains moving, team members believe full interoperability with all chassis providers in a gray pool model in Memphis is needed.”⁴ The Pool-of-Pools likewise observed port inefficiencies arising from the lack of chassis pool interoperability. Compl. ¶ 55. Even Respondent CCM has published a report on the beneficial impact of interoperable chassis pools on “supply chain efficiency.” Compl. ¶ 42 (quoting CCM, *Interoperability Matters! The Interoperable Gray Pool Model, Enhancing Supply Chain Efficiencies*).

These and other allegations of the Complaint fall squarely within the Commission’s focus on port terminal operations. In adopting the Interpretive Rule on Demurrage and Detention Under the Shipping Act, the Commission confirmed its jurisdiction over practices of ocean carriers affecting truckers, to “improve throughput velocity at U.S. ports, allow for more efficient use of business assets, and result in administrative savings.” 85 Fed. Reg. 29638, 29640 (May

⁴ Federal Maritime Commission, *A Single Gray Chassis Pool Fosters Fluid Commerce and Improves Supply Chain Velocity* at 2, <https://www.fmc.gov/wp-content/uploads/2019/05/MemphisSupplyChainWhitepaper.pdf> (hereinafter “Memphis Supply Chain White Paper”).

18, 2020); *see also id.* at 29651 (noting that “the Commission would be assessing the reasonableness of ocean carrier demurrage practices vis-à-vis shippers, intermediaries, and **truckers**”).⁵ This jurisdiction extends “regardless of whether the practices relate to conduct at ports or inland [terminals].” *Id.* at 29650; *see* Memphis Supply Chain White Paper at 2 (stating, with respect to ocean carrier arrangements with railroads and ramp operators, “the ocean carrier has predetermined usage of chassis provider within their captive pool models when that train arrives.”).

Despite Respondents’ assertion to the contrary, *Truck and Lighter Loading & Unloading Practices at New York Harbor*, 12 F.M.C. 166, upheld in *Isbrandtsen II*, is exactly on point. *Truck and Lighter Loading* dismissed the terminal operators’ attempt to limit Commission jurisdiction to only “tariffs of [ocean] carriers” and not terminal operators. 12 F.M.C. at 169. Rather, the Commission found jurisdiction over tariffs and practices of both ocean carriers and terminal operators that would cause “delays at [] terminals.” *Id.* at 170. In affirming the Commission’s concern with potential withholding of detention payments to certain motor carriers, the D.C. Circuit focused precisely on the impact of the challenged rules on port efficiency. It expressly affirmed that the imposition of financial penalties on truckers who unloaded their own cargo (instead of using port employees) would be unreasonable because it could lead to port congestion:

⁵ Although Respondents try to distinguish the Demurrage and Detention Policy proceeding on the grounds that the unreasonable conduct alleged was embodied in a tariff, rather than a non-tariff “practice,” *see* App. at 9, the Commission already has explicitly rejected such a reading: “if the **practice** at issue relates to rail but is nonetheless an ocean carrier practice, *e.g.*, is contained in an ocean carrier tariff or service contract, then the guidance in the rule would likely apply,” and therefore the Commission has jurisdiction. 85 Fed. Reg. at 29650 (emphasis added).

It is also contended by the Terminals that there is no evidence to support a conclusion that there is any danger of their discriminating against driver unloaded trucks. We conclude, however, in view of the magnitude of the potential problem of driver unloaded trucks, representing as they do 85% to 90% of all export cargo, that the Commission was well advised to insert section 4(c) in the detention rule. *If servicing of driver unloaded trucks could be held up indefinitely in such large numbers it is hard to see how the congestion situation would be improved.*

Isbrandtsen II, 444 F.2d at 837 (emphasis added). Thus, the Commission already has rejected Respondents' attempted distinction that the "regulations had nothing to do with the relationship between ocean carriers and motor carriers." App. at 8.

Nor can Respondents rely on *Sea-Land Dominicana* or *Pro Transport*.⁶ In *Sea-Land*, the Commission dismissed a dispute between a carrier and its sales agent for failure to allege a "sufficient nexus . . . between the regulated carriers" and the shipping public. 26 S.R.R. at 583. In contrast, here the Complaint directly connects Respondents' regulations and practices to the overcharges paid by IMCC members and rebilled to their shipper customers. See *Isbrandtsen I*, 389 F.2d at 968 ("Savings from [terminal] efficiencies will presumably be passed on to shippers and receivers" and thus "is clearly within its statutory authority"). Similarly, *Pro Transport* involved a dispute regarding "purely domestic transportation services," i.e., **only** the terms of an agreement for **domestic trucking services** between a motor carrier and an ocean carrier. *Pro Transport*, slip op. at 12 (citation omitted). In contrast, here the Complaint alleges unreasonable practices that (1) impose inefficiencies on the operations of ports and terminals, Compl. ¶¶ 25, 41, 43-46, 53-54, and (2) create costs relating to delivery under ocean carriers' port-to-port bills of lading that the shipping public must pay through motor carriers, *id.* ¶¶ 1-5, 47, 49, 56. Thus the Commission has subject-matter jurisdiction over IMCC's Complaint.

⁶ See App. at 5-7 (citing *Sea-Land Dominicana v. Sea-Land Service, Inc.*, 26 S.R.R. 578 (FMC 1992) and *Pro Transport, Inc., et al. v. Seaboard Marine of Florida, Inc. and Seaboard Marine Ltd., Inc.*, FMC Dkt. No. 16-12 (ALJ Apr. 26, 2017, administratively final May 31, 2017)).

II. IEPs Are Not Indispensable Parties to This Action.

The Presiding Officer correctly held that Respondents cannot meet their burden of showing that adjudication of the Complaint requires participation from the IEPs. Order at 5-6; *Incubadora Mexicana*, 310 F.R.D. at 170-71; Fed. R. Civ. P. 19(a)(1)(A). None of the relief requires Commission action with respect to IEPs because it can be granted by means of cease-and-desist orders directed to the Respondents. For example, the Complaint seeks an Order requiring that the Ocean Carriers and CCM change the text and enforcement of “CCMP Operations Manual Section 5.7,” Compl. Request for Relief ¶¶ 3(a)-(b); Order at 6. Such an order requires only parties to the CCMP Agreement, FMC Agreement No. 011962, i.e. CCM, OCEMA, and their members. See Compl. ¶¶ 2-3; Order at 6. IMCC further seeks an injunction against any practice that “limits the ability of a motor carrier to select the chassis provider it designates,” or otherwise advantages “the use of default chassis providers” or “restricts the ability of motor carriers independently to negotiate chassis prices” for MH movements. Compl. Request for Relief ¶¶ 3(c), (d); Order at 6. The Commission could satisfy this relief with an order solely on ocean carriers, OCEMA, and CCM. And last, the Complaint seeks a cease-and-desist order against **participation** in “single-provider chassis pools that are not interoperable with pools operated by other IEPs at all ports and intermodal terminals serving more than one Respondent under rules that do not permit effective chassis choice for motor carriers for [MH] container movements.” *Id.* at Request for Relief ¶ 3(e); Order at 6. As a result, the Presiding Officer correctly held that the Commission can award complete relief without participation from the IEPs. *Id.* See also “50 Mile Container Rules” Implementation by Ocean Common Carriers Serving U.S. Atlantic and Gulf Coast Ports, Dkt. No. 81-11, 1987 WL 209053, at *4 (Aug. 3, 1987) (finding a term in an agreement with third parties unlawful and giving ocean carriers “a reasonable amount of time to conform their collective bargaining arrangements with the

requirements of the shipping laws”), *aff’d*, *New York Shipping Ass’n, Inc. v. FMC*, 854 F.2d 1338 (D.C. Cir. 1988); *see also Western Md. Ry. Co. v. Harbor Ins. Co.*, 910 F.2d 960, 962-63 (D.C. Cir. 1990) (reversing dismissal of case under Rule 19(a)(1) where complete relief could be afforded to the parties to the case, thus the absent parties could not be “necessary” to adjudication).

Even if IEPs were necessary parties (they are not), dismissal is not proper. *See* Fed. R. Civ. P. 19(b). As the Presiding Officer found, “no other venue would be able to adjudicate” the dispute, so that dismissal would be unjust. Order at 6. Further, Respondents’ argument that the Commission lacks jurisdiction over IEPs misses the mark.⁷ App. at 13-14. Courts do not even consider feasibility of joinder under Rule 19(b) where, as here, such joinder is not necessary. *Id.*; *see also Western Md. Ry.*, 910 F.2d at 962-63. To the extent that IEPs’ participation would facilitate relief or protect their interests, they are free to intervene at the remedy phase.⁸ Moreover, Respondents would suffer no prejudice from the absence of the IEPs during the liability phase; they are free to produce their contracts and correspondence with IEPs as part of

⁷ Respondents cite to no authority that holds the Commission lacks personal jurisdiction over IEPs, and IMCC knows of no authority that supports Respondents’ position. Regardless, IEP personal jurisdiction is wholly irrelevant to the Commission’s ability to adjudicate fully **Respondents’** liability and to issue an order to halt their illegal conduct. *See* App. at 13-14.

⁸ *See* 46 C.F.R. § 502.68. Similarly, injunctions under Fed. R. Civ. P. 65(d)(2)(C) apply to “other persons who are in active concert or participation” with the defendants, without rendering such persons indispensable parties. *See Benjamin ex rel. Yock v. Dep’t of Public Welfare of Pennsylvania*, 701 F.3d 938, 949 (3d Cir. 2012) (affirming motion to intervene at remedy phase as “timely”). In this regard, IEPs are capable of independently and voluntarily establishing interoperable pools. *See* Dep’t of Justice, Letter re: Flexi-Van Leasing, Inc. and Direct ChassisLink, Inc. Business Review Letter Request (Sept. 23, 2014), *available at* <https://www.justice.gov/atr/response-flexi-van-leasing-inc-and-direct-chassislink-inc-request-business-review>. IMCC requests that the Commission take judicial notice of this Business Review letter. 46 C.F.R. § 502.204; Fed. R. Evid. 201.

their defense, and they—like Complainant—may serve subpoenas on non-parties for relevant and necessary discovery.

Respondents’ contract issues raise no Rule 19 concerns. Although Respondents argue that all parties to a contract are required to be named in the suit, App. at 11-12, that principle does not apply here where only **Respondents’** actions are under review. IMCC’s claim is based on section 41102(c), and does not arise under contract law. Further, IEPs cannot impose illegal contract obligations on Respondents, and so there is no concern about inconsistent obligations. See Fed. R. Civ. P. 19(a)(1)(B)(ii). Further, the ability of the Commission to hear this Complaint does not turn on whether Respondents have negotiated *force majeure* or indemnification clauses in their IEP contracts. See App. at 13 (worrying that Shipping Act liability for Respondents would subject them to breach of contract action).

Not a single one of Respondents’ cited authorities is on point. For example, in *All Marine*, both parties agreed that the Maryland Port Administration (“MPA”), as a lessor to a “terminal operator,” was an “indispensable party” because, as a Marine Terminal Operator subject to the Shipping Act, it might adopt rules to forbid what the Commission might order as a remedy in the proceeding. Thus, full relief might require the Commission to order the MPA to not interfere in the remedy. *All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, 26 S.R.R. 1396, 1396-98 (ALJ 1994). Here, the IEPs cannot impose contractual terms on an ocean carrier that the Commission determines to be in violation of the Shipping Act. *50 Mile Container Rules*, 1987 WL 209053, at *4. Respondents also cite *Dawavendewa v. Salt River Project Agric. Improvement & Power Dist.*, 276 F.3d 1150, 1156 (9th Cir. 2002); *Crouse-Hinds Co. v. InterNorth, Inc.*, 634 F.2d 690, 700-01 (2d Cir. 1980); *NRDC v. Kempthorne*, 539 F. Supp. 2d 1155, 1185 (E.D. Cal. 2013); *Camacho v. Major League Baseball*, 297 F.R.D. 457, 461-62 (S.D.

Cal. 2013). But unlike these cited cases, IMCC does not seek adjudication of performance or determination of rights arising under IEP contracts.

CONCLUSION

Ocean carriers, acting through OCEMA and CCM and their affiliates, have suppressed chassis choice and interoperability, creating supply chain inefficiencies, and causing overcharges for motor carriers, shippers, and U.S. consumers. The Commission has jurisdiction over Respondents' unreasonable and unjust practices and regulations, and IEPs are not necessary parties for the Commission to order Respondents to stop their unlawful conduct. For all of the foregoing reasons, IMCC respectfully requests the Commission deny Respondents' Appeal.

DATED: December 18, 2020

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that, on December 18, 2020, a true and current copy of the foregoing Complainant's Reply to Respondents' Appeal of Certain Portions of Order Denying Motion to Dismiss was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following Respondents' counsel:

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